Your Biggest Unforced Errors

WHENEVER THERE IS turmoil in the markets, my phone and email light up with calls from journalists, investors, and potential clients. They typically are excited about the turmoil of the moment and want my hot take. I disappoint them by channeling King Solomon: “This too shall pass.”

Decades as an investor and analyst on Wall Street have taught me that panics come and go. Drawdowns, corrections, crashes are not the problem —investor behavior *in response to market turmoil* is what causes so much harm.

In this book I have used the most extreme examples of unforced errors I could find to illustrate these behavioral problems. But don’t think it takes an enormous screw-up to cost you—even moderate mistakes lead to bad outcomes.

Let’s sum up a dozen or so lessons we have learned from the mistakes billionaires and the rest of us make.

Common unforced investor errors

1. Have a plan
2. Excess fees
3. Be tax aware
4. Your behavior
5. Asset allocation
6. Passive vs. active management
7. Reaching for yield
8. Understand cycles
9. Get what you pay for